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FREE WHITE PAPER | NOVEMBER 2026 | 12 MINUTE READ

More bid rounds, the same team. Set the floor price before anyone drafts.

Bids are won on evidence, not hours: CfD rounds, PPAs, battery contracts and grid gates, for energy developers in the UK

> **On a 60 MW solar project, every £1/MWh on the floor price is worth about £58,000 a year. A one-year slip defers about £3.8m of revenue.**
>
> The working is on page 2. The eight-step bid sequence is on page 7.

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Not legal, regulatory or investment advice. Facts checked 31 October 2026; AR8 dates after 19 November are indicative.

00 THE ANSWER FIRST

The floor price is worth more than the draft. Set it first.

For CEOs and commercial and bid leads at energy developers with 5 to 20 projects. CfD rounds, PPA offers, battery contracts and grid gates now land in the same months. Your decision: which competitions each project enters, and the lowest price you will accept in each.

WHAT £1/MWH IS WORTH

£58,000 a year

about £0.61m over a 20-year contract, in today's money

WHAT A ONE-YEAR SLIP DEFERS

about £3.8m

of revenue; about £2.6m in today's money

Example project: 60 MW solar, 11% capacity factor (assumption)	**57,816 MWh a year**
£1/MWh on the clearing price: 57,816 × £1	**£57,816 a year**
Over 20 years at a 7% discount rate (assumption): × 10.594	**about £0.61m**
Revenue at the AR7 solar price: 57,816 × £65.23[1]	**about £3.77m a year**
One month of slip: £3.77m ÷ 12	**about £0.31m deferred**
One year of slip, in today's money: £39.9m × (1 − 1/1.07)	**about £2.6m lost**

Worked example: 60 MW solar, 11% capacity factor, 20-year CPI-indexed contract, 7% discount rate, AR7 solar clearing price of £65.23/MWh in 2024 prices. The capacity factor and discount rate are Ignis assumptions. Method on page 11.

THREE FINDINGS

1. **Prices are set by evidence, not by effort.** AR7 solar cleared at £65.23/MWh, 13% below the £75 cap. For AR8, government sees anonymised sealed bids before it confirms budgets.[1,3]
2. **Revenue now comes from several bids.** A CfD, a PPA, a battery toll or floor and the Capacity Market can all sit under one project. Each one is a separate competition.[12,13,15]
3. **The grid queue is a bid deadline too.** A Gate 2 transmission offer must be signed within 90 days. Some distribution offers give 30.[11,20]

DECIDE BEFORE AR8 SEALED BIDS (INDICATIVELY 3 TO 9 DECEMBER 2026)

For each project: the competitions it enters in the next 12 months, a floor price on current evidence, and a signed bid or no-bid reason.

Yorik Tisseau, Founder, Ignis Leadership | November 2026 | 12 minute read | Inside: why now (p3 to p4), where bids lose (p5 to p6), the eight steps (p7), the worked example (p8), self-check (p9), the cost of waiting (p10), sources (p11)

01 WHY NOW: THE CFD ROUND

Rounds are bigger, prices are lower and the timetable is tight

So what: a fuller round rewards the developer whose floor price rests on current evidence. Late numbers lose.

14.7 GW

Awarded across 201 projects in AR7, the largest CfD round to date.[2]

£65.23

AR7 solar clearing price per MWh (2024 prices), 13% below the £75 cap. 4,905 MW across 157 projects.[1]

£72.24

AR7 onshore wind clearing price per MWh, 21% below the £92 cap. 1,306 MW across 28 projects.[1]

AR7 SOLAR AWARDS BY PROJECT SIZE

Size band	Projects	MW	Share of projects
5 to 10 MW	19	154	
10 to 20 MW	41	659	
20 to 30 MW	24	628	
30 to 40 MW	34	1,256	
40 to 49 MW	14	630	
49 to 50 MW	22	1,098	
Over 50 MW	3	480	

Source: DESNZ AR7a results, solar awards parsed by Ignis.[1] The median award is 29.9 MW; 84 of 157 projects are 30 MW or under; 134 are in England.

What changes in AR8

Solar sits alone in Pot 1 and onshore wind in Pot 2. The AR7 price caps stay. Government sees anonymised sealed bids in Pots 1 to 4 and confirms budgets after that assessment.[3] CfDs for wind and solar run 20 years, indexed to CPI.[7]

Date	What happens	Source
7 Aug 2026	AR8 application window closed	[4]
19 Nov 2026	Budget notice and Notice of Auction	[5]
3 to 9 Dec 2026	Sealed bids (indicative)	[6]
15 to 17 Feb 2027	Results (indicative)	[6]

01 WHY NOW: OFFTAKE, BATTERIES AND GRID

One project, four or five competitions

So what: each revenue line is now a separate bid with its own deadline. A team sized for one round a year falls behind.

1.8 GW

27 UK PPAs signed in 2025, 0.5 GW less than in 2024.[13]

£27.10

T-4 2029/30 Capacity Market clearing price per kW a year, down from £60.[12]

283 GW

NESO's reordered pipeline, replacing a queue of over 700 GW.[8]

PPA buyers are pickier

Corporate PPA volume in Europe fell 19% in 2025, while route-to-market PPAs tripled to 15 deals.[13] In Great Britain, 24 PPAs (626 MW) were signed by October 2025, down 39%. Sellers offered solar at £74 to £84/MWh and buyers bid £5 to £10 lower, so there was no price both sides would sign.[14]

Grid gates have their own clock

By 10 June 2026, 713 of 1,223 projects needed before 2030 (58%, 37 GW) had offers.[10] A Gate 2 transmission offer must be signed within 90 days.[11] Phase 2 offers run from early September 2026 to mid-January 2027, with a deadline of 31 January 2027.[18,19]

Battery contracts are bids too

Deal	Terms
Drax and Fidra	250 MW / 500 MWh toll, 10 years, CPI-indexed[15]
Drax and Zenobē	200 MW / 800 MWh toll at Coalburn, 15 years, not indexed[16]
Gresham House	Floor (Statkraft) and swap: £35m a year across 789 MW, about £44k per MW a year[17]

In T-4 2029/30, batteries won 1.2 GW of 40.1 GW de-rated capacity, 3.0%.[12]

> SHORT ANSWER
>
> Is the CfD still the anchor? Often, yes. But the plan to 2030 more than doubles solar, from 16.6 GW to 45 to 47 GW, so more projects will compete for each pot.[21]



02 WHERE BIDS LOSE TIME AND VALUE

Most bids are lost before the writing starts

So what: the five loss points sit in the process, not the prose. Fix two before you add people or tools.

1 The deadline picks the bid

The next window decides which competition a project enters, not a view of all of them.

Fix: a 12-month calendar of every round, buyer and grid gate, with one owner per event.
Cost: senior time spent on bids that were never likely to win.

2 Evidence rebuilt every time

Land, consent, grid, yield and capex evidence is gathered again for each round or buyer.

Fix: one evidence library per project, with an owner and a date on every item.
Cost: hours lost, and stale inputs in front of buyers and assessors.

3 The floor price set late

The walk-away price is agreed in the final week, on inputs nobody has rechecked.

Fix: set the floor at the bid or no-bid gate, on current capex, yield and grid evidence.
Cost: a bid below viability, or a contract won at a loss.

4 The same project, told differently

Capacity, dates and prices drift between the round, a PPA offer, the grid form and the board paper.

Fix: a cross-check no submission can skip.
Cost: clarification questions, lost credibility and delivery-year risk.

5 Lessons never written down

Results, clearing prices and buyer feedback stay in inboxes.

Fix: a short debrief that goes back into the record after every event.
Cost: the same mistakes repeated in the next round.

Start with two

Pick the two loss points that cost you most and find the reason for each. Fix those first. The rest can wait.

WORKED EXAMPLE: WHERE THE HOURS GO

Take a 100-hour bid. On Ignis assumptions, about 80 hours go on finding, checking and drafting, and about 20 on judgement: the floor price, the risk calls and the final review. With agents preparing first drafts and cross-checks, the same bid takes about 70 hours, and judgement time doubles to about 40. The point is not the hours saved. It is that senior people spend twice as long on the decisions that win.

Hours are Ignis assumptions for discussion, not measured figures. Test them against your last three bids.

02 WHY DESKS BREAK AT PORTFOLIO SCALE

A desk sized for one round a year is over capacity by spring

So what: when load passes capacity, the nearest deadline sets the strategy. Plan the year, not the next bid.

WORKED EXAMPLE: ONE DEVELOPER, 12 PROJECTS, ONE YEAR

Event type	Events	Senior hours each	Hours
CfD applications	6	300	1,800
PPAs (route-to-market or corporate)	6	150	900
Battery toll, floor or optimiser	4	150	600
Capacity Market prequalification and bid	4	60	240
Gate 2 offer review and acceptance	8	40	320
Total load	**28**		**3,860**
Capacity: 4 senior people × 1,600 hours × 50% on bids			3,200
Load as a share of capacity			**121%**
With agent support, 70 hours per 100 (page 5): 3,860 × 0.7 = about 2,700			**84%**

Ignis assumptions for discussion, not measured figures. Replace them with your own events and hours.

Bids get chosen by date

Over capacity, the team works on what is due next, not on what is worth most.

The floor gets skipped

The walk-away price is the step a stretched team drops first. It is also the one that decides margin.

Numbers drift

With four or five submissions live, capacity, dates and prices stop matching across them.

SHORT ANSWER

Should you hire? Perhaps later. First, remove the hours that add nothing: rebuilt evidence, repeated checks and late floor prices. Then decide whether the gap that is left needs a hire.



03 EIGHT STEPS FROM PROJECT TO SIGNED BID

One sequence works for any bid. People decide at every gate.

So what: the same eight steps cover a CfD round, a PPA offer, a battery contract and a grid gate. Agents prepare; named people sign.

#	Step	What happens	Who decides
1	Calendar	Every round, buyer process and grid gate for 12 months, by project	Commercial lead
2	Bid or no-bid	Chance of winning, margin and cost of bidding, written down	CEO or investment committee
3	Floor price	Walk-away price on current capex, yield and grid evidence	CEO and finance lead
4	Evidence pull	Facts drawn from the project library, each with a source and a date	Bid manager
5	First draft	Answers drafted against the scoring rules, with every claim sourced	Bid writer reviews
6	Cross-check	Capacity, dates and prices checked against every live submission	Bid manager
7	Review and sign	Senior review of risk calls, price and commitments	CEO
8	Debrief	Result, clearing price and feedback written back to the record	Commercial lead

Source: Ignis framework, free to use with your team.

Where agents help

- Reading rules, notices and buyer requests, and listing what each asks for
- Pulling evidence from the project library with its source and date
- First drafts of standard answers
- Cross-checks of capacity, dates and prices across submissions

What stays human

- Whether to bid at all
- The floor price and every risk call
- Commitments to buyers, assessors and the grid
- The final sign-off

SHORT ANSWER

Do agents write the bid? They prepare it. Steps 2, 3 and 7 are judgement, and they stay with named people.

03 VALUE A BID BEFORE YOU WRITE IT

Price the bid on four numbers you can check

So what: the last term in this sum is the one most teams leave out, and cross-checks cut it more cheaply than extra drafting.

Bid value = chance of winning × margin if you win − cost of bidding − chance of an error × cost of that error

WORKED EXAMPLE: 60 MW SOLAR WITH A 30 MW BATTERY

Input	Value
Output: 60 MW × 8,760 h × 11% (assumption)	57,816 MWh
Revenue at £65.23/MWh[1]	about £3.77m a year
Each £1/MWh on the floor	about £58k a year
Each month of slip	about £0.31m deferred
Battery floor: 30 MW × £44k/MW[17]	about £1.32m a year
Capacity Market: 30 MW × 21% de-rating (assumption) **× £27.10/kW**[12]	about £0.17m a year

Ignis calculation. The 11% capacity factor, the 30 MW / 60 MWh battery and the 21% de-rating are Ignis assumptions.

WHAT THE NUMBERS DECIDE

1. **The floor matters more than polish.** £1/MWh is about £58k a year on this project. A floor set on stale capex can cost more than the whole bid budget.
2. **The grid date is a revenue date.** Each month the connection slips defers about £0.31m. A delivery year the grid cannot meet is the costliest error in the sum.
3. **The battery is its own bid.** A floor contract and the Capacity Market together add about £1.5m a year here. Each needs its own evidence and its own deadline in the calendar.

Where you might disagree

A CfD pays one clearing price per pot, so your floor decides whether you win, not what you earn. That makes it tempting to bid low. Do that only if the floor still covers current capex at the clearing prices you expect.[1,3]

04 SELF-CHECK

Can your team take on more bids without hiring?

So what: your score shows where to start. Tick what is true today, not what is planned.

- ☐ We hold a 12-month calendar of every round, buyer process and grid gate across the portfolio
- ☐ Every bid has a written bid or no-bid decision with a floor price
- ☐ Each project has one evidence library, with owners and dates
- ☐ Our pricing model reads the latest capex, yield and grid inputs
- ☐ Capacity, dates and prices are cross-checked across every live submission
- ☐ Drafting and checking do not depend on one or two people
- ☐ Results, clearing prices and feedback go back into the record after every event
- ☐ We know our load against capacity for the next 12 months

Score: 0 to 2, start with the calendar and a bid or no-bid gate. 3 to 5, build the evidence library and the cross-checks, then add agents. 6 to 8, you are ready to take on more competitions with the same team.

Questions for your team on Monday

1. Which bid events fall in the next 90 days, and who owns each one?
2. What is our floor price for each, and when was it last tested?
3. Where does the same project appear with different numbers?
4. What did we learn from AR7, and where is it written down?
5. Which grid offers must we sign before 31 January 2027?



05 THE COST OF DOING NOTHING

Waiting a round is rarely free

So what: a one-year slip defers about £3.8m of revenue on a 60 MW project. Decide it on purpose.

Case	What happens	Cost
One month	The grid date or financial close slips by a month	about £0.31m deferred
Most likely	The project misses AR8 and bids the next round a year later, at a similar price	about £3.8m deferred; about £2.6m today
Downside	The next round slips or the grid date moves, and contracted revenue starts two years later	about £5.1m today
Bid too low	The floor is set on stale capex and the project wins at a price it cannot build to	[NOT IN RECORD]

60 MW solar worked example from page 2; Ignis calculation. The bid too low case depends on your capex and has no general figure.

Where you might disagree

Waiting can be right if capex is falling faster than prices, or if a creditworthy PPA buyer is at the table. Decide it in writing, with a floor price, before sealed bids open.

What to do this month

1. Build the 12-month calendar for every project.
2. Refresh the floor price on current capex, yield and grid evidence.
3. Write the bid or no-bid reason and get it signed.
4. Cross-check capacity, dates and prices across every live submission.

HOW IGNIS HELPS

Ignis advises energy developers on bid strategy and bid practice. We work from your documents, with your team. We map where your bids lose time, test the floor price and the bid or no-bid case, and recommend what to fix first. Your team decides and signs.

Talk it through with Yorik

One question you can answer in one reply: which bid in the next 90 days worries you most? Send its name and deadline to **ignisleadership.com/contact** and we will come back with the three questions we would ask first.

+ SOURCES AND METHOD

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Method and limits

Worked example. 60 MW × 8,760 hours × 11% capacity factor = 57,816 MWh a year. The 11% capacity factor, the 7% discount rate, the 30 MW / 60 MWh battery and the 21% de-rating are Ignis assumptions, not sourced figures. Present value uses a 20-year annuity factor at 7% (10.594). Revenue uses the AR7 solar clearing price of £65.23/MWh in 2024 prices[1] and ignores indexation, merchant tail and costs. One month of slip is one twelfth of a year's revenue, deferred, not lost. A one-year slip is valued as the 20-year stream discounted one year further.

Size bands. Solar awards parsed by Ignis from the AR7a results table; band edges are approximate. **Hours.** Bid hours and the 12-project load table are Ignis assumptions for discussion, not measured. **Frameworks.** The five loss points, the eight steps and the self-check are Ignis views, free to use with your team.

Dates. AR8 dates after 19 November 2026 are indicative until the Notice of Auction is published.

+ NEXT READS AND ABOUT IGNIS

BEFORE THE BID

Choose your route to market, then win it

Four questions to set the anchor route and floor price for each project.

GRID OFFER TO CLOSE

One commercial record from grid offer to close

Why supplier choice, contracts and the lender pack belong in one record.

MONTHLY

Market Monitor

The dates, prices and rules that moved this month.
ignisleadership.com/resources

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About Ignis

Ignis Leadership is an advisory practice for energy developers across the UK and Europe, onshore and offshore. We help teams win the right to develop and move projects to financial close, with fewer delays, fewer surprises and stronger terms. Expert-led, AI-assisted, on your data.

About Yorik Tisseau

Founder of Ignis Leadership. 17 years closing commercial deals on energy infrastructure.

Talk it through with Yorik:
ignisleadership.com/contact



Process first. Data second. Agents third.

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